Credit cards

Issued by lenders such as banks or building societies, wallet-sized plastic credit cards function as flexible borrowing facilities which allow their holders to purchase goods or services on credit.

A credit card account allows an individual to make purchases on credit up to an agreed maximum limit. Users can spend as much as they want up to that limit without being charged – as long as they pay off the balance (accrued debt) in full by an agreed date each month. Interest is charged on any outstanding balance beyond this point, but users are obliged to meet only a minimum repayment (*see below*). The minimum amount may vary, but generally users pay a percentage of the remaining balance or a fixed minimum amount, whichever of the two is higher, plus the interest and any default charges.

There is not usually a deadline by which a credit card debt must be repaid in full – it is up to the users to make repayments as they see fit – but repaying only the credit card's minimum payment each month is one of the most expensive ways to manage credit card bills, as interest will build up on the unpaid amount.

Minimum repayments

Unlike loan and mortgage borrowers, credit card users can choose how much over and above the prescribed minimum repayment they repay each month. The minimum repayment is the lowest amount users must repay each month in order to avoid a fine. If they pay only the minimum amount each month, however, the remaining unpaid balance will continue to accrue interest, and the amount they owe will increase. This means that their debt will last for longer than it would do if they were to repay a larger, fixed amount each month, or if they paid off all of the monthly balance.